Tesla, Inc.

TSLA NASDAQ

Hold	$391.12 ▼ 1.59%	12M Price Target	52-Week Range	Market Cap
		$440.00	$297.38 – $498.83	$1.54T

TSLA: SpaceX Merger Chatter Drives Everything Right Now

WHAT HAPPENED

- Bloomberg dropped the big one overnight — a SpaceX-Tesla merger announcement could come as early as December. That's why TSLA traded wild today (opened strong, closed down 1.6%). The market is confused: is this a genius move that creates a trillion-dollar AI/robotics/space empire, or is Musk bailing out Tesla by stapling it to his more valuable private company?
- Texas AG-elect immediately said he'd put "tremendous scrutiny" on the deal — meaning even in Tesla's home state, this isn't a layup. Add that to inevitable federal antitrust review and you've got real deal risk.

WHY IT MATTERS

Here's what I think is actually happening: the merger talk is a double-edged sword. On one hand, SpaceX is privately valued around $400B+ and Tesla shareholders would get exposure to Starlink and Starship — that's the bull case for why the stock held above $390. On the other hand, this is Musk using TSLA stock (which trades at a nosebleed valuation) to buy an asset at what will likely be a rich price — classic sign that management thinks their own stock is overvalued and wants to use it as currency before reality sets in. The put/call ratio and those massive out-of-the-money put buys at $470-475 (bets the stock falls) tell me smart money is hedging hard — they want exposure to the merger upside but are paying for insurance against a deal collapse or regulatory block.

POLICY & POLITICAL WATCH

Two policy threads matter right now: First, the EV tax credit situation under Trump — the $7,500 consumer credit was effectively killed in the 2025 reconciliation bill, which hurts Tesla's lower-end demand but also kills competitors who can't survive without it (net: slightly positive for Tesla's market share, negative for total volume). Second, a SpaceX-Tesla merger triggers FTC/DOJ antitrust review AND a national security review (CFIUS-adjacent) because SpaceX has defense contracts — the Trump administration has been friendly to Musk, but an antitrust review takes 6-12 months minimum. Watch for any White House signaling on the deal; a positive comment from Trump could add 10% to the stock overnight.

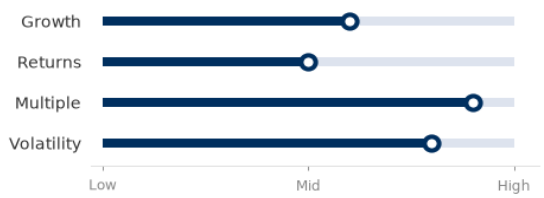
IS IT EXPENSIVE?

TSLA trades around 160x forward earnings — meaning you're paying $160 today for every $1 of profit the company will make next year. For comparison, GM trades at roughly 6x and Toyota around 10x. That premium is only justifiable if you believe Tesla is really an AI/robotics company (Optimus robot, FSD autonomy, robotaxi) rather than a car company, AND the SpaceX merger goes through at a favorable ratio. Strip out the dreams and the car business alone is probably worth $150-200/share.

Key Data

Price (USD)	**$391.12**
12M Price Target	**$440.00**
Upside / (Downside)	**+12.5%**
Market Cap	**$1.54T**
FY2026E Revenue	**$118M**
FY2027E Revenue	**$142M**
FY2026E EPS	**$2.45**
FY2027E EPS	**$3.60**
Fwd P/E	**159.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$450.00**	$395.00	**$340.00**
6 Months	**$550.00**	$420.00	**$310.00**
1 Year	**$620.00**	$440.00	**$280.00**
2 Years	**$750.00**	$480.00	**$250.00**
5 Years	**$1000.00**	$600.00	**$200.00**
10 Years	**$1800.00**	$850.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.9% on week) and Communication Services are leading — energy on continued Trump deregulation and comms on AI capex narratives. Consumer staples catching a bid today suggests some defensive rotation.

COOLING OFF: Tech sold off today (TSLA included) — looks like profit-taking after a strong run and nervousness about AI capex sustainability.

ROTATION WATCH: Money is moving from high-multiple tech into energy and defensive names — classic late-cycle behavior. If that continues, TSLA's premium multiple gets harder to defend absent the merger catalyst.

RELATED PLAY: If you believe the Musk-empire thesis, the second-order play is companies in the SpaceX/Starlink supply chain — think IRDM (satellite comms) or defense primes that work with SpaceX.

WHO'S WINNING IN THIS SPACE?

- GM (General Motors): Trading much cheaper and has a real EV strategy now — Motley Fool piece today framing it as the "sane" alternative to TSLA for 2027
- RIVN (Rivian): Benefiting from VW partnership capital, carving out a niche TSLA is abandoning (trucks/adventure)

TSLA CONTEXT: TSLA is leading on narrative but lagging on fundamentals vs the traditional autos. The stock is 47% of its 52-week range — meaning it's in the middle, not extended either way. That's a "wait for the catalyst" setup, and the catalyst is the December merger announcement.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm genuinely split; the merger is a coin flip and the fundamentals don't justify the price without it.

POSITION SIZE: 2-4% max. This is binary enough that you shouldn't bet the farm either direction.

ENTRY POINTS: I'd wait for a pullback to $350-370 before adding. The stock tends to overreact to Musk tweets and news cycles — be patient.

TIME HORIZON: 12-18 months — the merger story plays out by mid-2027 one way or another.

WHEN TO BAIL: If the merger gets blocked by regulators, or if Q4 deliveries miss by more than 10%, I'm trimming hard. Also watch Musk's attention — any sign he's checking out of Tesla is a sell signal.

HEDGING: Buy a put option — basically insurance that pays off if the stock drops below a certain level. For a TSLA position, buying puts 10-15% out of the money for 6 months out is reasonable protection against a merger collapse.

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